

Year	Earned per share	Dividend paid	Price range
1938	\$0.57	0.45	12 ³ / ₄ –8
1937	1.41	0.80	26 ¹ / ₂ –9
1936	1.42	0.75	22 ³ / ₄ –15
1935	0.75	0.40	16–6 ¹ / ₈
1934	0.21		10–5 ⁵ / ₈
1933	0.77(<i>d</i>)		11 ¹ / ₄ –17 ⁷ / ₈
1932	1.82(<i>d</i>)		7–2 ¹ / ₂
1931	0.56	1.00	18 ¹ / ₂ –4 ⁵ / ₈
1930	1.46	2.00	32–12
1929	3.05	1.75	38 ⁷ / ₈ –17
Average 1934–1938	0.87		
Average 1929–1938	0.68		

try, the company's prominent position in it and the strong financial set-up would clearly suggest an affirmative answer. If this were granted, the analyst would then point out that the shares could be bought at 8 with very small chance of ultimate loss and with every indication that under the next set of favorable conditions the value of the stock would double. Note that in 3 years out of the past 5 and in 6 out of the past 10, the stock sold between 2 and 4 times the July 1939 price.

This type of reasoning, it will be noted, lays emphasis not upon an accurate prediction of future trends but rather on reaching the general conclusion that the company will continue to do business pretty much as before.

Wall Street is inclined to doubt that any such presumption may be applied to companies with an irregular trend, and to consider that it is just as difficult and hazardous to reach a conclusion of this kind as to determine that a "growing company" will continue to grow. But in our view the Intertype form of reasoning has two definite advantages over the customary attitude, *e.g.*, that which would prefer a company such as Coca-Cola, at 22 times recent earnings and 35 times its asset value, because of the virtually uninterrupted expansion of its profits for more than 15 years.

The first advantage is that, after all, private business is conducted and investments made therein on the same kind of assumptions that we have made with respect to Intertype. The second is that reasoning of this kind can be *conservative* in that it allows for a liberal margin of safety in case